P23
AFRICA



FUNDING READINESS GUIDEBOOK

Become Investor-Ready — No Matter Where You Are in Your Journey

A step-by-step guide designed for African entrepreneurs to prepare for funding, refine their business model, and build investor confidence. for African entrepreneurs.



Table of Contents

Growth Stage Business

- Get Your House in Order 3
- Build Your Story 7
- Pitch Like A Pro 8
- Funding Readiness 9
- Mapping The Funding Landscape 10
- Investor/Funder Directory 10

Pre-revenue Business

- Validate Your Idea 11
- Financial Clarity 12
- Build Your Story 13
- Pitch Practice 14
- Funding Without Revenue 15

SECTION 1: GET YOUR HOUSE IN ORDER — THE FINANCIAL FOUNDATION

Objective:
Understand your numbers before seeking external capital.

Activities:
This activity helps you understand the current financial health of your business and set realistic growth goals for the next six months. By completing this snapshot, you'll have a clear view of how your business is performing and what targets you should aim for.

Step 1: Document Your Key Financial Metrics

Start by gathering your latest financial figures. You'll focus on three main metrics:

1. **Monthly Revenue** – The total amount of money your business earns in a month from sales or services before any expenses are deducted.

Example: If you make $5,000 in sales each month, that's your monthly revenue.

Gross Margin – The percentage of revenue left after subtracting the cost of goods sold (COGS) or direct costs of providing your service. It shows how efficiently your business produces or delivers its products.

Example: If your revenue is $5,000 and your direct costs are $2,500 your gross margin is 50%.

Net Profit – The amount of money left after subtracting all expenses (including rent, salaries, taxes, etc.) from your total revenue. This represents your actual profit.

- Net Profit=Revenue – Total Expense

Example: if your revenue is $5,000 and your direct cost are $2,500 ($5000 - $2500) = Net Profit $2,500

Step 2: Complete the Table

Use the table below to capture your current financial snapshot and set your six-month goals.

Metrics	Current Value	Goal
Monthly Revenue		
Gross Margin	%	%
Net Profit		

Step 3: Reflect and Set Intentions

After filling out the table, ask yourself:

- What changes or improvements will help you reach your 6-month financial goals?
- Do you need to increase sales, reduce costs, or improve efficiency?

This simple exercise helps you set measurable financial targets and track your business growth over time.

Calculate Key Growth Metrics

Understand what drives your growth and where to optimize before seeking funding.

CAC (Customer Acquisition Cost) – How much it costs to gain one new customer.

How to work it out

🧮 Formula: (Total Marketing + Sales Costs) ÷ New Customers

LTV (Customer Lifetime Value) – How much a customer spends with you over time.

How to work it out

🧮 Formula: Avg. Purchase × Frequency × Lifespan

Churn Rate – The percentage of customers you lose over a period.

How to work it out

🧮 Formula: (Customers Lost ÷ Customers at Start) × 100

Conversion Rate – The percentage of leads or visitors who become paying customers.

How to work it out

🧮 Formula: (Customers ÷ Leads) × 100

✅ Outcome: You'll know exactly what drives your growth, and what to improve before raising capital.

Cash Flow Drill
Review your last 6 months of cash inflows (money in) and outflows (money out).

Identify:

- Where you can cut costs or improve efficiency
- How to extend your runway by reducing burn or boosting revenue

Month	Inflows	Outflows	Net Cash Flow

Section 2: Build Your Story — The Pitch Deck Blueprint

🧭 **Objective:**
Create a pitch deck that clearly tells your business story and excites investors.

1.PROBLEM — WHAT'S BROKEN IN THE MARKET?



2.SOLUTION — WHAT'S YOUR UNIQUE APPROACH?

3.MARKET OPPORTUNITY — HOW BIG IS IT?



4.PRODUCT/SERVICE — DEMO OR KEY FEATURES.

5.TRACTION — KEY MILESTONES, REVENUE, USERS, PARTNERSHIPS.



6.BUSINESS MODEL — HOW YOU MAKE MONEY.

7.MARKET STRATEGY — HOW YOU ACQUIRE AND RETAIN CUSTOMERS.



8.COMPETITION — WHO ELSE IS IN THE SPACE, AND WHY YOU WIN.

9.TEAM — WHO'S BEHIND THE VISION.



10.FINANCIALS — 3-YEAR PROJECTIONS AND KEY METRICS.

11.ASK — HOW MUCH FUNDING YOU NEED AND WHAT IT'S FOR.



12. BE CLEAR AND CONCISE

Activities:

- **Compare your deck with 2 successful African startup decks.**
- **Highlight 3 weak or missing slides.**

✅ **Outcome: You'll have a complete, professional pitch that resonates with investors.**

Section 3: Pitch Like a Pro — The Confidence Builder

🧭 **Objective:**
Get comfortable speaking about your business with clarity and conviction.

Exercises:

Elevator Pitch Challenge:
- **Describe your business in 30 seconds.**
- **Record yourself and time it — refine until it's natural and engaging.**

The "Why Us" Question:
- **Write a 2-sentence answer to: "Why should an investor back you?**

Role-Play Investor Q&A:
- **Have a partner or friend ask these:**
  - **What problem are you solving?**
  - **How do you make money?**
  - **What makes your team the right one?**
  - **What's your biggest risk?**

✅ **Outcome: You'll be confident, clear, and ready for real investor conversations.**

Section 4: Strategic Readiness: Funding Isn't the Only Way

🧭 **Objective:**
Learn to grow sustainably while keeping funding optional.

Activities:

- Identify 3 non-funding growth levers (e.g. partnerships, revenue reinvestment, automation).
- Build a "Self-Funding Strategy" — outline how your business can grow from cash flow.

✅ **Outcome: You'll become stronger and more attractive to investors by being less dependent on them.**

Section 5: Mapping the Funding Landscape

🧭 **Objective:**
Understand who funds what — and how to align your business with the right opportunities.

Activities:

- **Research 5 funding bodies or grant programs relevant to your sector.**
- **Document for each:**
- **Name > Focus Area > Funding > Type > Website > Application Cycle**

✅ Outcome: You'll have your first mini "funding map" to build on later.

Next Step: Go Deeper with the P23 Africa Funding Directory
Once you've completed this guide, you'll be ready for the next level:

📘 The Funding & Investor Directory for African Entrepreneurs — a premium, data-packed guide that includes:

- 🌍 40+ country database of active investors in Africa
- 💰 100+ international grant funders supporting African startups
- 🤝 Direct contacts, investment focus areas, and application timelines
- 🧠 Bonus: Pitch templates and funding strategy planners

Get it when you're ready to start raising — and we'll help you prepare your investor documents through our Investor-Ready Services.

SECTION 1: VALIDATE YOUR BUSINESS IDEA

Objective:

Before any investor funds your idea, you must prove it's solving a real problem for a real audience.

Activity

Exercise 1: Problem Validation
Answer these questions:

1. **What problem does your product solve?**
2. **Who feels this problem most (your early adopters)?**
3. **How are they currently solving it (competitors or alternatives)?**
4. **Why is your solution better?**

✅ **Outcome: You'll identify your real target audience and the problem they'll pay to solve.**

Exercise 2: Proof of Interest
Use free tools or methods to show interest in your idea: Either

- **Create a landing page describing your solution and collect emails.**
- **Conduct 10 short interviews with potential users.**
- **Run a social poll or community post testing the problem statement.**

✅ **Outcome: You'll have early market validation data — something tangible to show investors.**

SECTION 2: GET FINANCIALLY CLEAR (EVEN BEFORE YOU START SELLING)

Objective:

Investors want to see that you understand the business side of your idea, how it can make money and how you plan to spend it.

Activity

Exercise 1: Map Your Revenue Model
Even if you haven't made sales yet, outline:

- **How you plan to make money (product sales, subscriptions, ads, etc.)**
- **How much you'll charge (estimated price or rate).**
- **What your costs will be (product creation, marketing, team).**

✅ **Outcome: You'll build a simple, clear financial model — a roadmap for future profitability.**

Exercise 2: Create a Lean Startup Budget
List only the essential expenses to test and launch your idea.
Use this simple framework:

Category	Item	Cost

Section 3: Build Your Story — The Pitch Deck Blueprint

🧭 **Objective:**
Create a pitch deck that clearly tells your business story and excites investors.

1.PROBLEM — WHAT'S BROKEN IN THE MARKET?



2.SOLUTION — WHAT'S YOUR UNIQUE APPROACH?

3.MARKET OPPORTUNITY — HOW BIG IS IT?



4.PRODUCT/SERVICE — DEMO OR KEY FEATURES.

5.TRACTION — KEY MILESTONES, REVENUE, USERS, PARTNERSHIPS.



6.BUSINESS MODEL — HOW YOU MAKE MONEY.

7.MARKET STRATEGY — HOW YOU ACQUIRE AND RETAIN CUSTOMERS.



8.COMPETITION — WHO ELSE IS IN THE SPACE, AND WHY YOU WIN.

9.TEAM — WHO'S BEHIND THE VISION.



10.FINANCIALS — 3-YEAR PROJECTIONS AND KEY METRICS.

11.ASK — HOW MUCH FUNDING YOU NEED AND WHAT IT'S FOR.



12. BE CLEAR AND CONCISE

Activities:

- **Compare your deck with 2 successful African startup decks.**
- **Highlight 3 weak or missing slides.**

✅ **Outcome: You'll have a complete, professional pitch that resonates with investors.**

Section 4: Pitch Like a Pro — The Confidence Builder

🧭 **Objective:**
Get comfortable speaking about your business with clarity and conviction.

Exercises:

Elevator Pitch Challenge:
- **Describe your business in 30 seconds.**
- **Record yourself and time it — refine until it's natural and engaging.**

The "Why Us" Question:
- **Write a 2-sentence answer to: "Why should an investor back you?**

Role-Play Investor Q&A:
- **Have a partner or friend ask these:**
  - **What problem are you solving?**
  - **How do you make money?**
  - **What makes your team the right one?**
  - **What's your biggest risk?**

✅ **Outcome: You'll be confident, clear, and ready for real investor conversations.**

Step 5: Funding Without Revenue
Even without traction, you can access non-dilutive funding (grants) or early-stage investment if you present a clear, validated idea.

Types of Funding You Can Access:
Grants & Competitions:
For early validation and proof of concept (e.g., local innovation hubs, startup accelerators).

Angel Investors:
Often back early ideas if they trust the founder and see a big market.

Friends & Family:
Small initial amounts to test your idea or build an MVP.

Crowdfunding:
Platforms like GoFundMe, Kickstarter, or local versions (for tech or social projects).

Partnerships:
Collaborate with existing businesses who benefit from your idea.

Exercise: Find Your First Funding Source

- **Identify 3 grants, competitions, or partners aligned with your sector.**
- **Research their eligibility and deadlines.**
- **Prepare a short summary (1-page) of your idea and impact.**

✅ **Outcome: You'll have 3 realistic funding targets — ready to pursue immediately.**

Next Step: Go Deeper with the P23 Africa Funding Directory
Once you've completed this guide, you'll be ready for the next level:

📘 The Funding & Investor Directory for African Entrepreneurs — a premium, data-packed guide that includes:

- 🌍 120-country database of active investors in Africa
- 💰 100+ international grant funders supporting African startups
- 🤝 Direct contacts, investment focus areas, and application timelines
- 🧠 Bonus: Pitch templates and funding strategy planners

Get it when you're ready to start raising — and we'll help you prepare your investor documents through our Investor-Ready Services.

